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Copay or Not Copay? That is the Question.

How Benefit Plan Changes are Impacting Manufacturer Coupon Programs

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September 27th, 2019

Project Background and Objectives

- Many manufacturers have recently implemented out of pocket assistance programs to help patients pay for their medications, with payers allowing patients to fulfill their deductible using manufacturer dollars.
- As OOP assistance programs have grown in availability, commercial payers have been changing how these payments are applied to the patient's out of pocket liability by eliminating manufacturer dollars from counting toward the patient's deductible.
- **We would like to better understand how the shift of counting manufacturer copay assistance dollars in the OOP calculation impacts patient adherence and healthcare utilization and costs over time.**
- **Questions of specific interest include, but are not limited to, the following:**
  - What is the overall estimate of the number and percentage of patients impacted by an OOP Accumulator Program within a health insurance organization?
  - How does participation in an OOP Accumulator Program impact patient spend, deductible fulfillment, and Rx persistency?
  - How does the presence of an OOP Accumulator Program impact the manufacturer's assistance programs?

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Manufacturer Coupon Assistance Benefit Plan Changes

Prior to 2018…

2018 changes

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Problem Scoping Analytic Plan

- The example below illustrates the analytic plan for Phase 1 of the OOP Accumulator Impact Assessment:

Step 1: Identify eligible patients

Step 2: Link to family members and benefit design

Step3: Extract medical and pharmacy claims for all family members

Step 4: Calculate individual and family cumulative deductible spend, use of assistance, respectively, with counterfactuals

Step 5: Summarize OOP accumulator impacts

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Demographic, Utilization, and Costs Data of Interest

- Patient Characteristics
  - Age, Gender, Geographic distribution
  - Family Size distribution
  - Insurance Plan, Benefit Design distribution: Administrative Services Only (ASO), Fully-Insured (FI), Deductible plans, No Deductible plans, Deductible level distribution, Out of pocket max distribution
- Out of Pocket Accumulator Impacts
  - Number of product fills / administrations
  - Number of patients with a product fill/administration
  - Average number of product fills/administrations per patient
  - Number of patients with an OOP Accumulator Program
  - Duration on medication
  - Month of deductible/OOP max fulfillment
  - Average number of days until deductible/OOP max fulfillment
  - Average number of product fills/administrations by deductible/OOP max fulfillment
  - Manufacturer coupon use
  - Average amount of coupon used by deductible/OOP max fulfillment

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The Deductible Mountain…

- Family satisfies deductible first
- Individual satisfies deductible first
- Family and individual satisfy at the same time
- Nobody achieves deductible satisfaction

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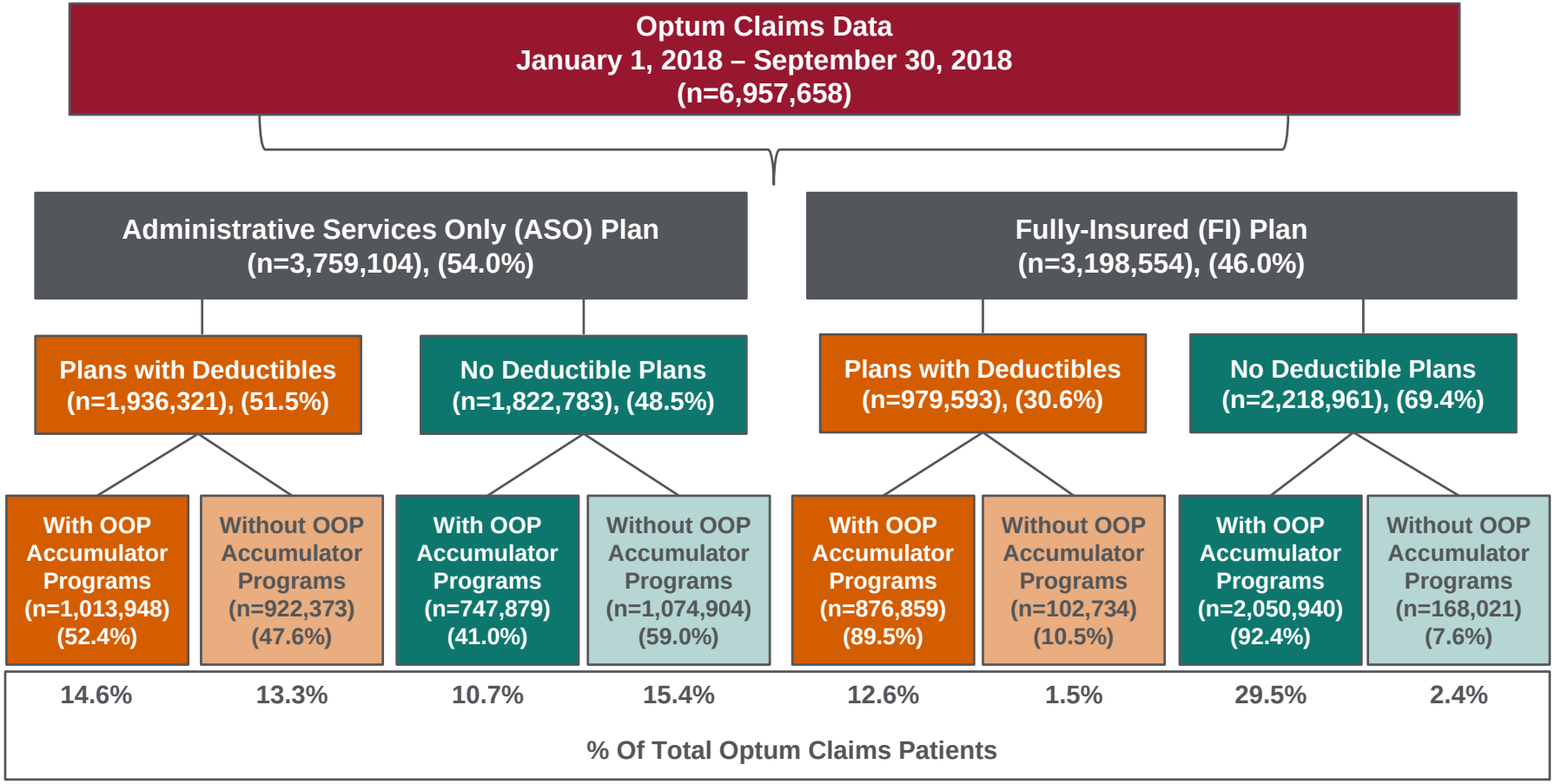
Approximately 67% of Optum Claims Patients Are in a Plan Design That Includes an OOP Accumulator

- OOP accumulator programs are more common among non-deductible plans (40%) compared to deductible plans (27%).



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Source: Optum Claims Data. Patients with a claim for products of interest during the time frame January 1, 2018 – September 30, 2018.

OOP Accumulator Program Distribution is Similar in Deductible and Non-Deductible Plans Among Cohort Patients

Optum Claims Data: January 1, 2018 – September 30, 2018
Patients with a Rx Fill/Administration for Products of Interest
(n=8,786)

Deductible Plans with OOP Accumulator Programs (n=2,915), (33.2%)	Deductible Plans without OOP Accumulator Programs (n=1,028), (11.7%)	No Deductible Plans with OOP Accumulator Programs (n=2,997), (34.1%)	No Deductible Plans without OOP Accumulator Programs (n=1,846), (21.0%)
Immunology Product A (n=1,382)	Immunology Product A (n=510)	Immunology Product A (n=1,377)	Immunology Product A (n=836)
Immunology Product B (n=388)	Immunology Product B (n=113)	Immunology Product B (n=387)	Immunology Product B (n=276)
Immunology Product C (n=101)	Immunology Product C (n=30)	Immunology Product C (n=112)	Immunology Product C (n=82)
Immunology Product D (n=942)	Immunology Product D (n=321)	Immunology Product D (n=1,001)	Immunology Product D (n=584)
Immunology Product E (n=135)	Immunology Product E (n=57)	Immunology Product E (n=167)	Immunology Product E (n=81)
Oncology Product A (n=27)	Oncology Product A (n=11)	Oncology Product A (n=41)	Oncology Product A (n=33)
Oncology Product B (n=3)	Oncology Product B (n=3)	Oncology Product B (n=6)	Oncology Product B (n=3)
Oncology Product C (n=81)	Oncology Product C (n=27)	Oncology Product C (n=73)	Oncology Product C (n=68)

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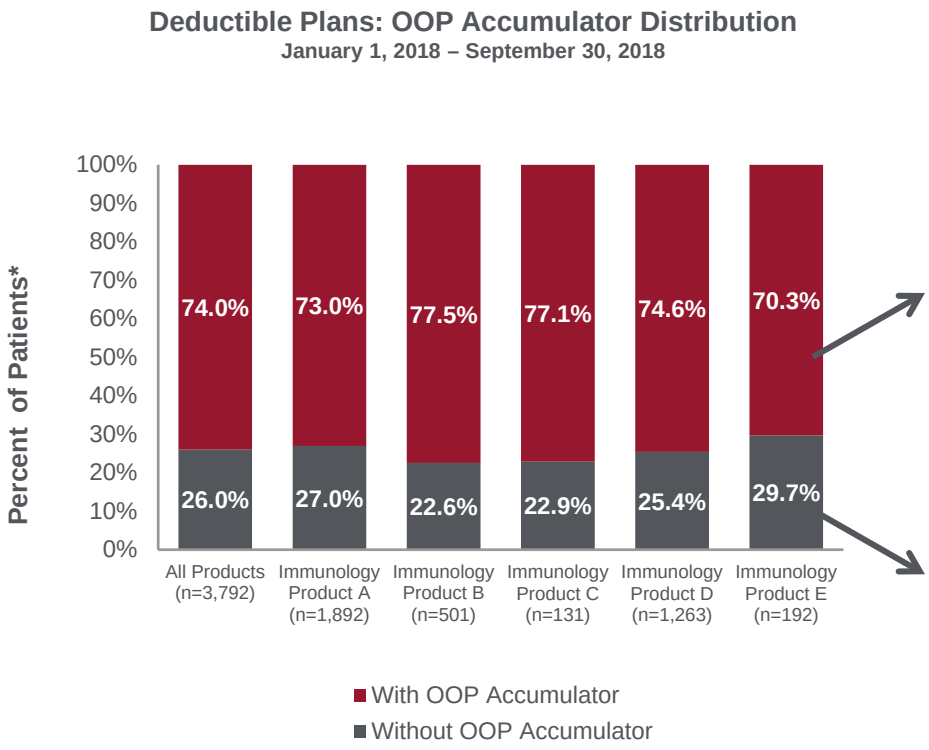
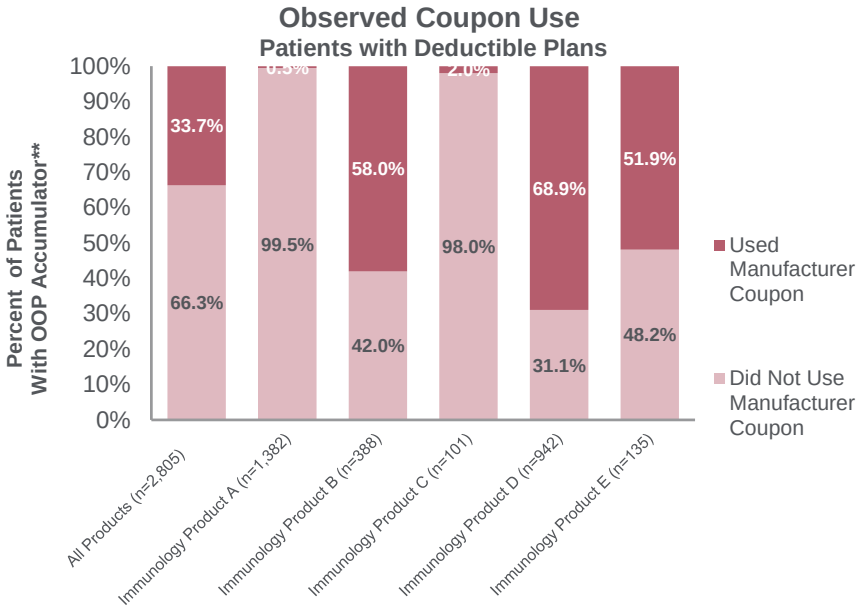
Source: Optum Claims Data. Patients with a claim for a products of interest during the time frame January 1, 2018 – September 30, 2018. Patients in the product cohorts will be subgrouped based on indication*, with an unknown group for those patients without a diagnosis code of interest.

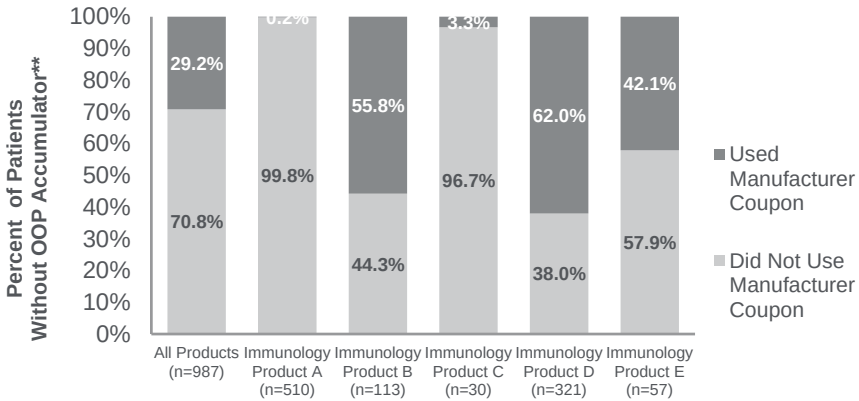
Immunology Products
- Out of Pocket Accumulator Impacts

Broad-Scale Rollout

Over 70% of Patients with Deductible Plans Have OOP Accumulator Programs with Coupon Use Highest Among this Group







Source: Optum Claims Data. Patients with a claim for products of interest during the time frame January 1, 2018 – September 30, 2018. *Percent of patients is calculated as follows: the total number of patients with a with or without an OOP accumulator program divided by the number of patients with a Our client product of interest. **Percent of patients is calculated as follows: the total number of Our client patients obsproducts of interesterved to use/not use manufacturer coupon divided by the total number of Our client patients in the specific health plan cohort.

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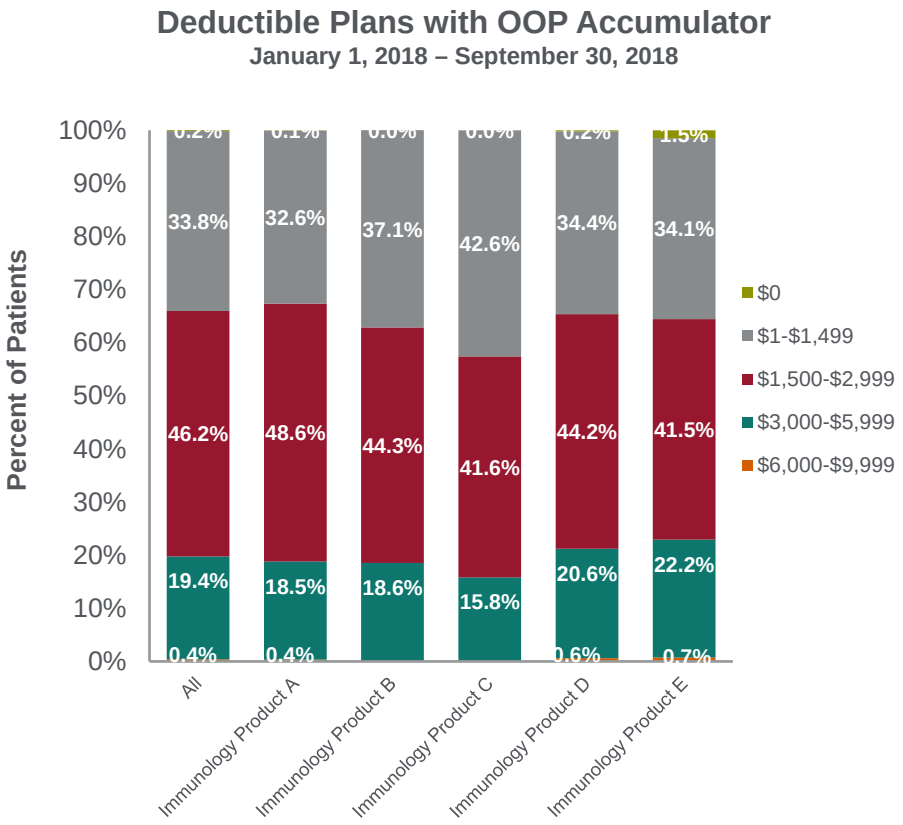
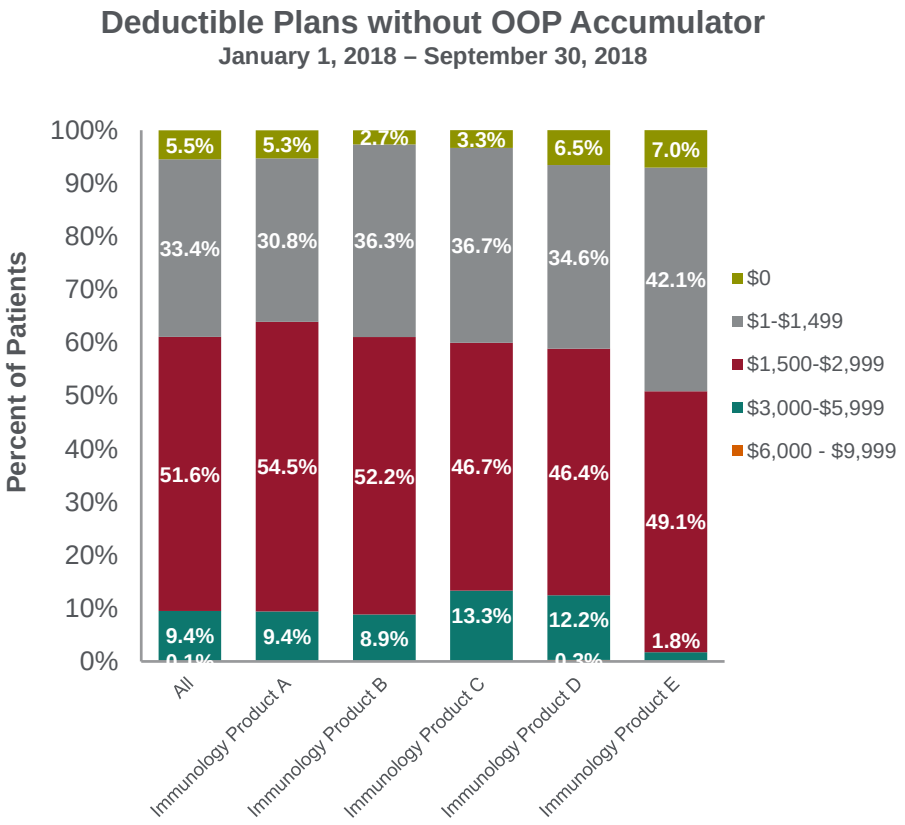
Note: Medical benefit reimbursed products are not currently included in the OOP accumulator program and as a result their coupon use is untracked.

Deductible Distributions by Benefit Design

Patients With OOP Accumulator Programs Have a Higher Deductible, Most Likely Due to Targeted Implementation





Patient Counts	All	Immunology Product A	Immunology Product B	Immunology Product C	Immunology Product D	Immunology Product E
Deductible Plans with OOP Accumulator	2,805	1,382	388	101	942	135
Deductible Plans without OOP Accumulator	987	510	113	30	321	57

Source: Optum Claims Data. Patients with a claim for a products of interest during the time frame January 1, 2018 – September 30, 2018. Percent of patients by deductible level is calculated as follows: the number of Our client patients by deductible level divided by the total number of Our client patients in the specific health plan cohort. This data represents the individual deductible.

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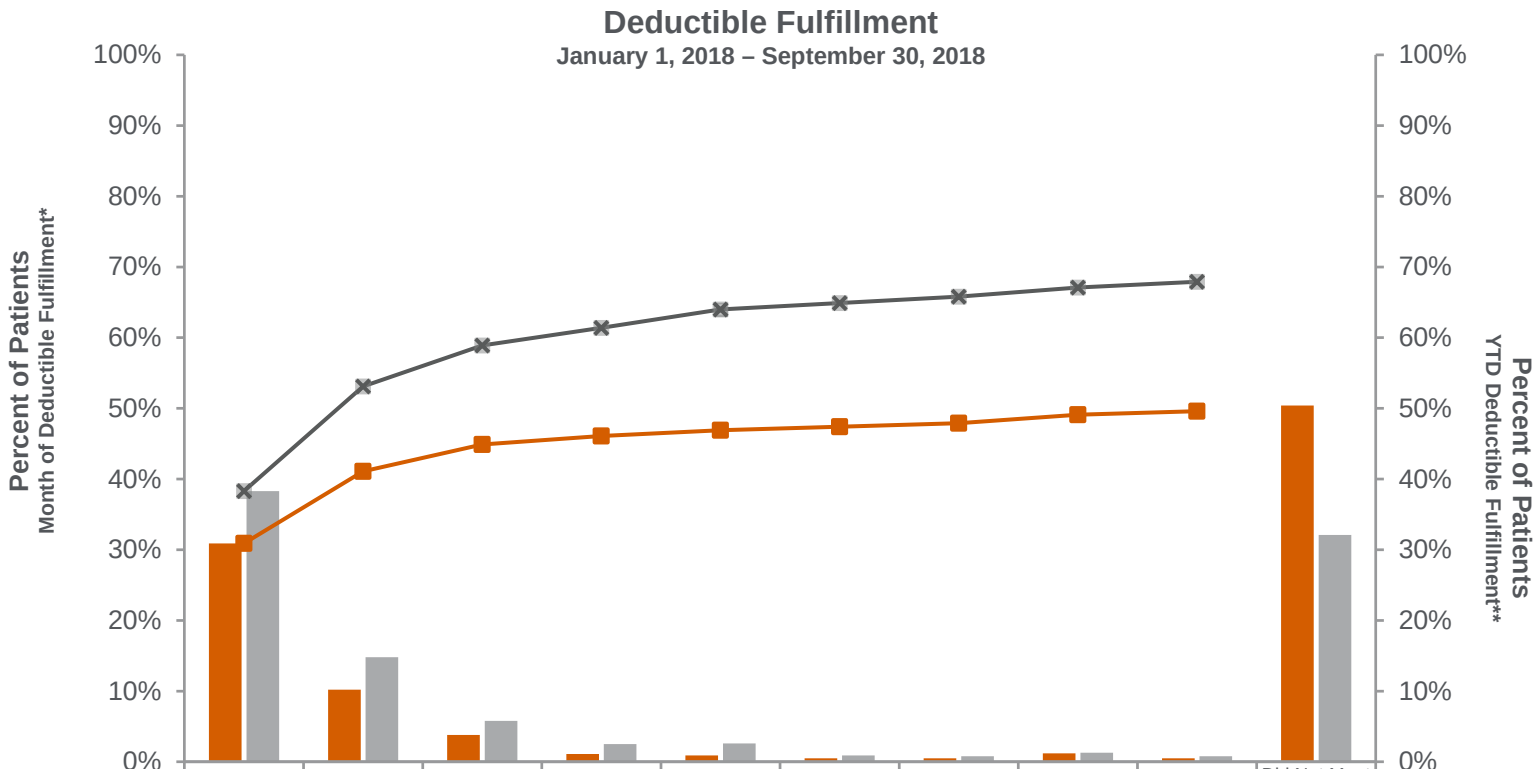
Woah, Horsie…

Time-to-Deductible Fulfillment Amongst New Benefit Plans Slower
18% Less Patients Achieved Deductible During the Analysis Window



	January	February	March	April	May	June	July	August	September	Did Not Meet Deductible
Deductible Plans with OOP Accumulator (n=2,805)	30.9%	10.2%	3.8%	1.1%	0.9%	0.5%	0.5%	1.2%	0.5%	50.4%
Deductible Plans without OOP Accumulator (n=987)	38.3%	14.8%	5.8%	2.5%	2.6%	0.9%	0.8%	1.3%	0.8%	32.1%
Deductible Plans with OOP Accumulator (n=2,805)*	30.9%	41.1%	44.9%	46.1%	46.9%	47.4%	47.9%	49.1%	49.6%	
Deductible Plans without OOP Accumulator (n=987)*	38.3%	53.1%	58.9%	61.4%	64.0%	64.9%	65.8%	67.1%	67.9%	

Source: Optum Claims Data. Patients with a claim for a products of interest during the time frame January 1, 2018 – September 30, 2018. *Percent of patients, month of deductible fulfillment is calculated as follows: the total number of Our client patients that met their deductible in a given month divided by the total number of Our client patients in the specific health plan cohort. **Percent of patients, YTD deductible fulfillment represent the cumulative Percent of patients meeting their deductible in a given month.

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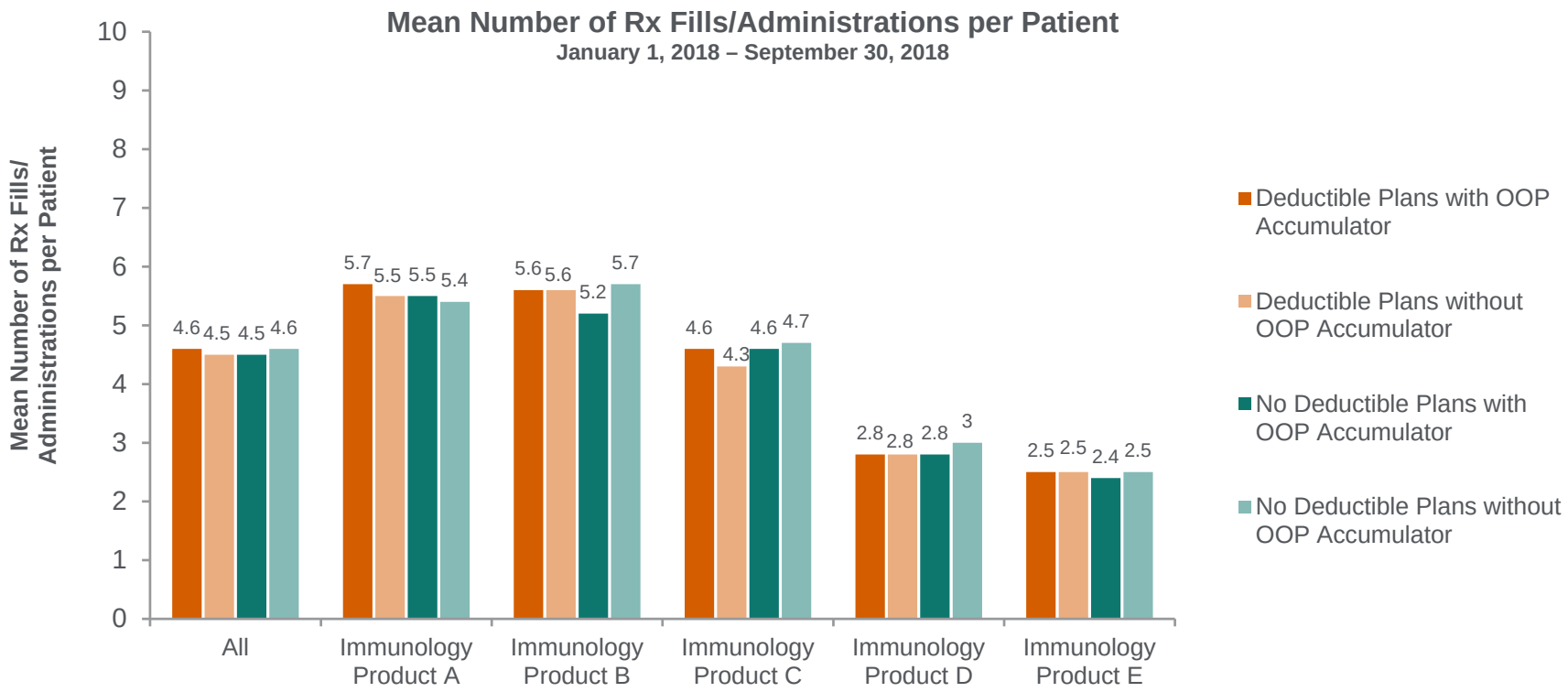
No Major Utilization Differences Observed

OOP Accumulator Programs Do Not Significantly Impact Product Utilization Amongst Cohort Immunology Patients



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Deductible Plans without OOP Accumulator	987	510	113	30	321	57
No Deductible Plans with OOP Accumulator	2,877	1,377	387	112	1,001	167
No Deductible Plans without OOP Accumulator	1,743	836	276	82	584	81

Source: Optum Claims Data. Patients with a claim for a products of interest during the time frame January 1, 2018 – September 30, 2018. Mean number of prescription fills/administrations represents the mean number of prescriptions filled/administered per patient for Our client patients in a specific health plan cohort.

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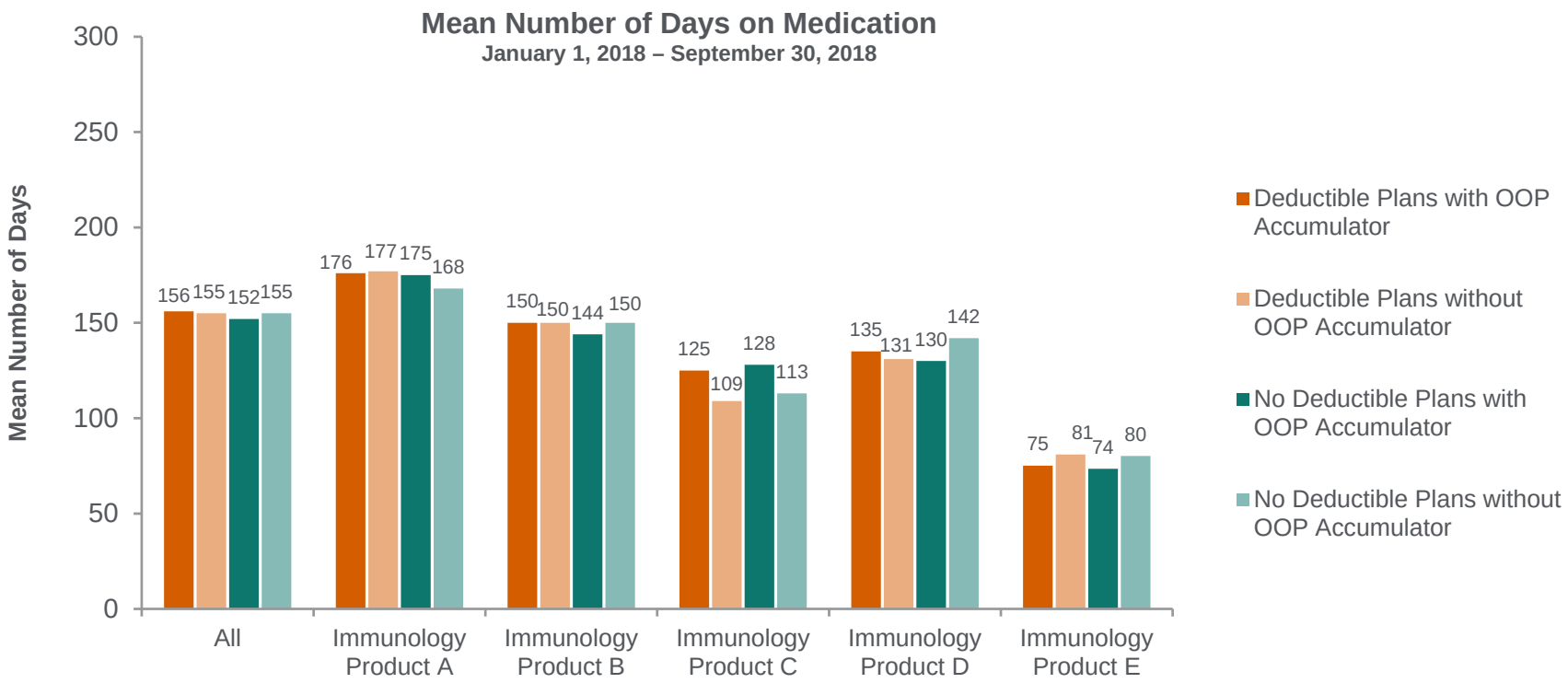
No Major Utilization Differences Observed

OOP Accumulator Programs Do Not Significantly Impact Duration of Therapy Amongst Cohort Immunology Patients



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No Deductible Plans without OOP Accumulator	1,743	836	276	82	584	81

Source: Optum Claims Data. Patients with a claim for a products of interest during the time frame January 1, 2018 – September 30, 2018. Mean number of days on medication represents time elapsed between last and first filled prescription/administration for a specific product for Our client patients in a specific health plan cohort.

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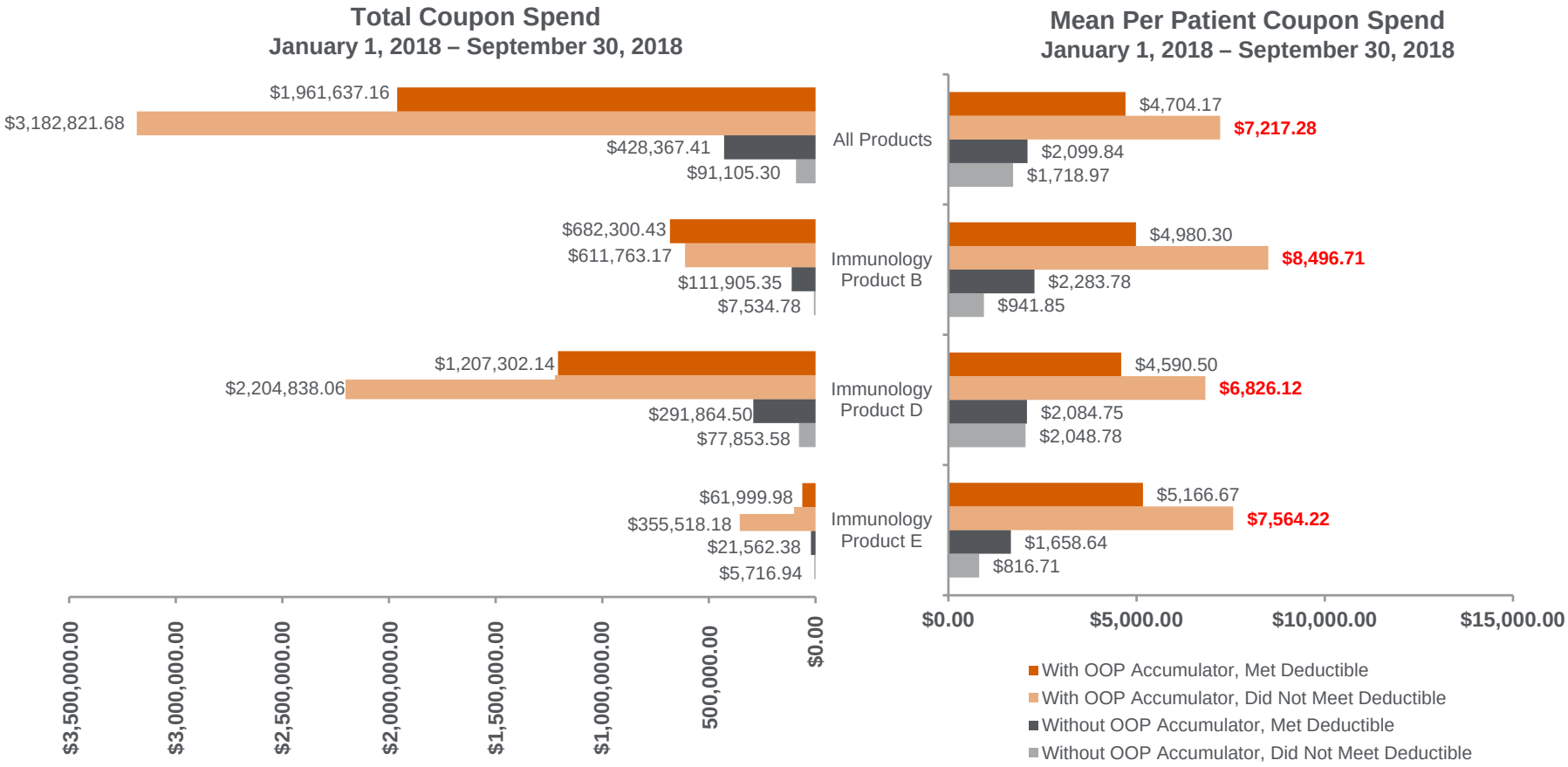
Manufacturer Coupon Spend Much Higher in New Benefit Plan Members

OOP Accumulator patients not meeting their deductible spend on average ~$7000-$8,000 compared to ~$1,000-$2,000 in non-OOP Accumulator patients.



Patient Counts	All	Immunology Product B	Immunology Product D	Immunology Product E
Deductible Plans with OOP Accumulator: Met Deductible	417	137	263	12
Deductible Plans with OOP Accumulator: Did Not Meet Deductible	441	72	323	47
Deductible Plans without OOP Accumulator: Met Deductible	204	49	140	13
Deductible Plans without OOP Accumulator: Did Not Meet Deductible	53	8	38	7

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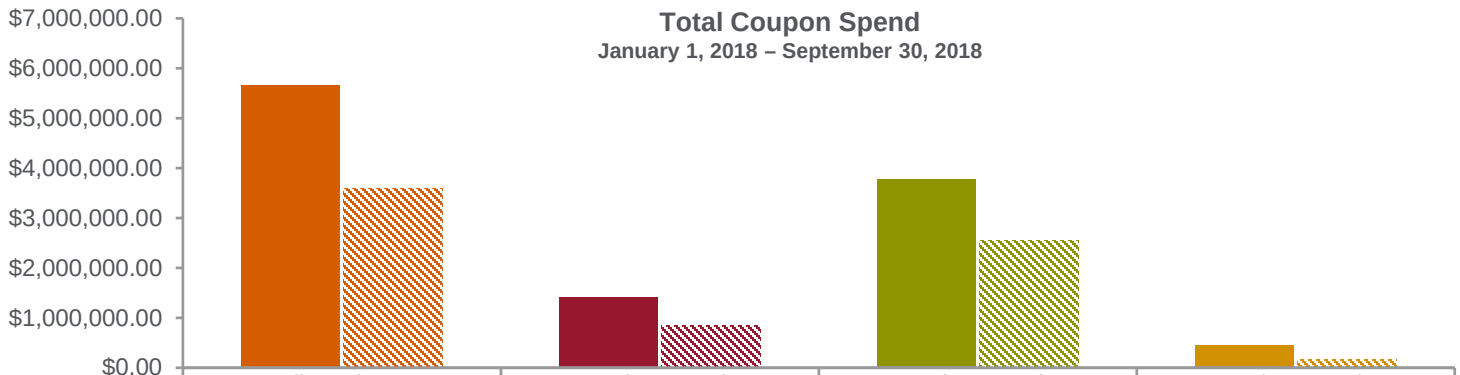
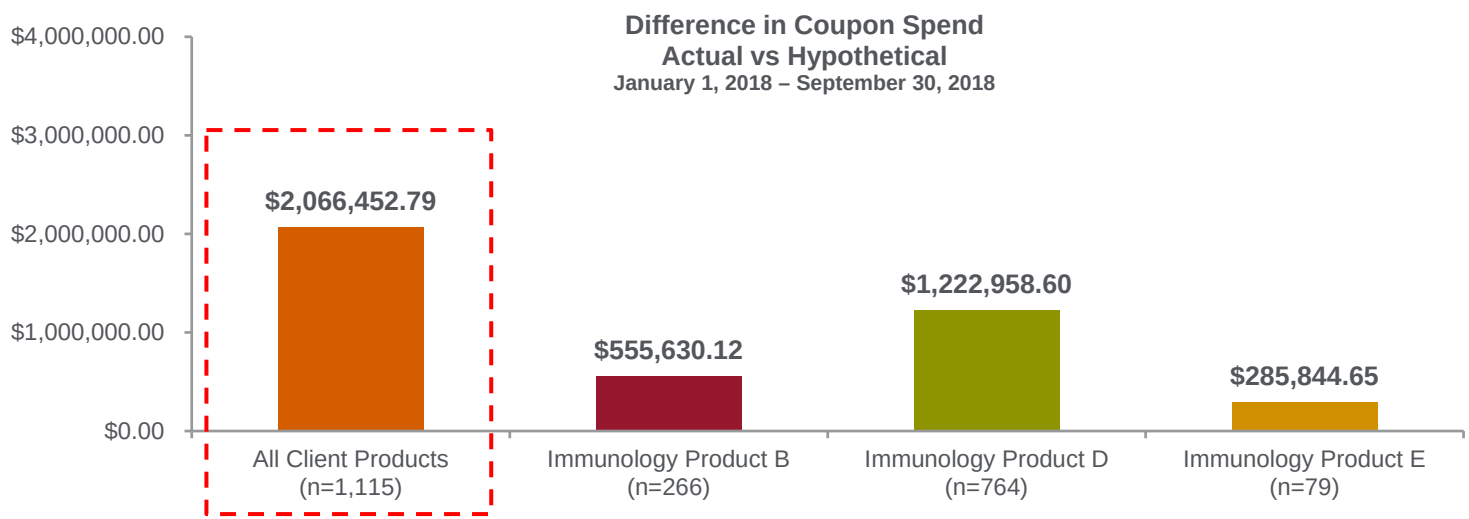
Source: Optum Claims Data. Patients with a claim for a products of interest during the time frame January 1, 2018 – September 30, 2018.

Manufacturer Coupon Spend Much Higher in New Benefit Plan Members

Counterfactual Analysis Reveals over $2M of Additional Spend in 2018 Alone



	All Products (n=1,115)	Immunology Product B (n=266)	Immunology Product D (n=764)	Immunology Product E (n=79)
Actual	$5,663,931.55	$1,413,503.73	$3,781,858.28	$444,797.48
Hypothetical	$3,597,478.76	$857,873.61	$2,558,899.68	$158,952.83



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Source: Optum Claims Data. Patients with a claim for a products of interest during the time frame January 1, 2018 – September 30, 2018.

Lessons Learned

Analytics Lessons Learned

Claim Complexity

- Many benefit arrangements did not have a deductible, but only had a coin arrangement with an out-of-pocket maximum.
- This not only changed the way in which the claims were processed, it also caused a stratification of the members for reporting that was not originally expected.

Coupon Calamities

- Utilization was only captured for Rx benefit products, and the amount of manufacturer coupon captured on the Rx claim was only present/accurate for those claims at BrioviaRx.
- The coupon amount (seemingly/evidently) was only captured to the point of deductible satisfaction.

Family Ties

- A recommendation for future analyses would be that only the member deductible be analyzed - in the vast majority of cases the member was the first person to satisfy the benefit.

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Thank you.

Appendix

Patient Inclusion Criteria

- To be included in the study, patients must meet the following inclusion criteria:

Data Source	Claims
Inclusion Time Period	January 1, 2017 – September 30, 2018
Inclusion Criteria	Patients must have the following: ▪ ≥1 filled prescription or administration for a market product of interest
Exclusion Criteria	▪ Patients that switched plan types throughout the study time period, including patients that do not stay in the health plan throughout the analysis window ▪ Patients that do not have continuous pharmacy and medical benefits throughout the analysis window

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